13.4.2 Project selection and formulation

The criteria used for project selection are;

- Investment size
- Location
- Technology
- Equipment
- Marketing
- Power and water
- Working capital requirements
- Labour component
- Economic viability

Project formulation is the systematic development of a project idea. It involves the joint efforts of a team of experts. It would be helpful if government clearance is obtained. It is an analytical management aid. It can be shown to the bankers or other institutions to acquire financial assistance. It is prepared by an expert after detailed study and analysis of the various aspects of a project.

13.4.3 Project Report preparation

The major steps involved in project report preparation are;

Step 1: Choose an idea for the enterprise. The idea selected should be viable, profitable and socially good. These ideas can be acquired from various sources such as magazines, journals, competitors, employees, distributors, customers and through research.

Step 2: Observations have to be made with regard to the availability of raw material, labour, machinery, technology and demand in the market.

Step 3: Scanning of business environment is the next step. The amount of money required for investment is scanned thoroughly, location of enterprise, labour availability and the extent of marketing are also scanned.

13.5 Accounting and Book Keeping

Every enterprise irrespective of whether it is large or small, public or private, sole or partnership has financial concern and wish to make profits. It is humanly impossible to remember all the transactions. So there is a need to record them. Accounting is said to be the language of business as it communicates or reports the results of business operations. Accounting is described as the art of recording, classifying and summarising in a significant manner and in terms of money, transactions and events which are in part of financial character and interpreting the results thereof.

The scope of accounting comprises of the following heads :

- **Data Creation and Collection**

  Every transaction related to some financial activity is noted and recorded into books. This may be done in manual, mechanical or electronic way. Years back it was done manual and books or physical files were maintained. But in the recent years computers are used and electronic files are maintained. Important files are locked with suitable password.

- **Data Evaluation**

  Data Evaluation controls the activities of business, evaluating the

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